

Why not create own products?

With all the expertise IDHs have, why don't they create their own products, under their own brand name?

When asked about this, more than half of the IDHs surveyed (60 per cent) said that they did not want to create their own brand as it would amount to competing with their own clients. Just around 40 per cent thought it worth a try.

IDHs neither want to lose their customers, nor make them feel IDHs as a threat. They want to concentrate only on designing. Janakiraman says, "We don't have any immediate plan to create our own brand of products or solutions. Our current focus is to create a series of white-label products that will serve the needs of the Indian and global markets."

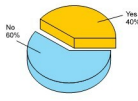
Vasudevan added, "We are in the business of product design and engineering services and will continue to focus on providing more and more comprehensive product realisation services to our customers."

Cherukuri said, "We want to take specific concepts of design from third-party customers, design for them and give fully-manufactured products to the brand owners. We want to be an original device manufacturing/white-label company."

Focus on R&D is more important than manufacturing. Said Xavier, "MEDI has no plan of entering manufacturing. For over 23 years, we have been dedicated to R&D and we will remain so in future. We don't sell products (except for a few industrial products we have been manufacturing for a long time for special applications); we only sell technical know-how. We are not into manufacturing because then we can't concentrate on R&D."

Some IDHs preferred to create their own brands, though. Sinha said, "We are in the process of creating our own brands. Some products have already been launched. One example is our IP encryption device, which is used for securing communication between two networks or stations."

Planning to Create Own Brands



Customers are also beginning to prefer risk-reward models. Janakiraman explained, "In risk-reward models, a certain amount of the design charges is being linked to success of the projects and products."

Even frugal engineering is becoming important. Bhanuprakash Cherukuri, senior vice president-strategy and head of the hi-tech vertical of Infotech Enterprises, said, "Frugal engineering is becoming important with the global delivery model, and we see more future business demand."

Partnerships. Partnering with leading silicon companies helps design houses to offer futuristic solutions to their customers. Sinha informed, "We have tie-ups with premium silicon manufacturing companies like Texas Instruments (TI), Analog Devices, Actel, Atmel, Altera, Microchip and Intel. This gives us leverage in terms of providing the right solutions to customers. First, we get very good technical support from our premium

partner companies. Second, we get pre-launch product information, which is very vital as we can start designing future products by the time their silicon gets launched. Third, it adds to our credentials, as these companies give us testimonies of our work."

Varghese shared that they too worked with partners like Intel.

M.A. Mohamed Saliya, managing director, iWave Systems Technologies, said, "We work with global leaders like Intel, Freescale, TI, Microsoft, Xilinx and Google (partners) so that we have early access to future technology."

Customer focus. Design houses work on the specific needs of their customers. Ramakrishnan said, "We provide customer-centric, collaborative semiconductor engineering solutions and services that lead to business benefits for our customers. Our approach goes beyond conventional factors such as skill-sets and technical know-how to cover work cultures, ethnic backgrounds, languages and geographies.

We also position ourselves appropriately in the semiconductor value chain to maintain its sanctity and be effective."

Vasudevan said, "Customers look for predictability, flexibility and the ability to address their dynamic needs. Our differentiator lies in investment in technology and increased product understanding; partnering with IP vendors and other ecosystem partners and investment in the development of reference solutions; and a lot of business-model innovation, beyond the traditional time-and-material model, with models like the risk-reward model."

Janakiraman added, "We are a mid-sized company. Many customers choose us as we will be able to pay better attention than very large companies, while at the same time being a safer bet compared to design houses that are too small. We invest much higher in R&D than similar-size companies. Also, we bring in industry-domain knowledge and understand the nuances of products needed in the respective markets." Start-ups offer a different bouquet of benefits too—flexibility, for instance.

Gopi explained, "Earlier, companies designed products and pushed them to the market. But now things have changed. We need to design products based on consumers' requirements and then push the products to the market." Hence understanding and catering to customers is very important.

Moreover, customers also want to participate in the design process now. Sinha commented, "Customers have become more application-savvy and knowledgeable as we see them participate more in every aspect of product design. This benefits the product design as a whole as the quality of the product improves and is more close to customers' needs."

Retention of customers is as important as acquiring new customers. Sinha said, "Our policy is to retain our customers by giving them good design service and support. This helps us in keeping the customers captive. We would like to retain every single customer that we have acquired as